

**BEFORE THE
FEDERAL MARITIME COMMISSION**

ORANGE AVENUE EXPRESS, INC.	)	
	)	
<i>Complainant,</i>	)	
	)	
HAPAG-LLOYD AG	)	DOCKET NO. 21-10
	)	
<i>Respondent.</i>	)	
	)	

RESPONDENT’S OPPOSITION TO MOTION FOR LEAVE TO INTERVENE

Pursuant to 46 C.F.R. §502.68(b)(3), Respondent Hapag-Lloyd AG (“Respondent”), through the undersigned attorneys, hereby opposes the Motion For Leave To Intervene filed by One Banana North America Corp. (“One Banana”)(hereinafter, the “Motion”).

I. Introduction

One Banana seeks leave to intervene as a matter of discretion under 46 C.F.R. §502.68(c)(2)(i). As explained below, the Motion should be denied.

II. The Motion Does Not Meet The Criteria For Permissive Intervention

An analysis of the criteria for granting permissive intervention demonstrates that such intervention should not be granted here, and that the Motion should be denied.

Under 46 C.F.R. §502.68(c)(2)(i), there are four criteria used to evaluate a request for leave to intervene: (i) existence of a common issue of law or fact; (ii) unduly delaying or broadening the scope of the proceeding; (iii) duplication of position of existing party; and (iv) assisting in development of a sound record. These criteria are considered below.

A. Intervention Would Unduly Broaden And Delay This Proceeding

Permitting One Banana to intervene in this proceeding will necessarily expand its scope and delay the proceeding.

In Exhibit C to the complaint which initiated this proceeding, Orange Avenue Express (“OAE”) identifies approximately 260 containers that are the basis of its complaint. In the complaint attached to the Motion, One Banana alleges there are 77 different containers which form the basis of that complaint. If One Banana is permitted to intervene in this proceeding for the limited purpose of using discovery and examination of witnesses (also characterized as having access to the discovery and participating in depositions), then Hapag-Lloyd will necessarily have to seek discovery from One Banana and from the approximately fifteen (15) third-party truckers with whom it communicated.¹ As a result, discovery in this case will involve both the One Banana containers and the OAE containers. In other words, intervention would essentially combine the two proceedings into one, something that is inappropriate given the different types of damages alleged in each.

D. Allegations of Common Issues Of Law or Fact Are Overstated

The Motion overstates the extent to which common issues of law or fact are involved in this proceeding and the One Banana proceeding. A closer examination of the two proceedings, and the Commission’s guidance on the application of Section 41102(c) of the Shipping Act, indicates the Motion should be denied.

Although both cases involve to some extent the availability of appointments to return empty equipment transported by the same ocean carrier to terminals in southern California, they

¹ If the Presiding Officer decides to grant the Motion (which she should not), then One Banana should be made a full party to this proceeding so that Respondent has the ability to seek discovery from One Banana and protect Respondent’s ability to defend itself. Respondent should not be required to engage in duplicative discovery with the same party across two proceedings.

are substantially different. For example, OAE is a motor carrier whose allegations are limited to challenging the detention charges which allegedly resulted from the inability to return containers and the damages suffered as a result. In contrast, One Banana is a shipper whose complaint, in addition to detention, also makes allegations with respect to demurrage charges and a refusal of motor carriers to accept containers from Hapag Lloyd (neither of which are issues present in the present proceeding). Demurrage and detention charges are separate and distinct charges governed by separate tariff rules. Even based solely on the allegations in the respective complaints (which Hapag Lloyd expressly does not accept as true or correct), the alleged manner in which these charges were incurred in the respective matters turn on different events and circumstances. As such, determining the reasonableness of Hapag Lloyd's actions with respect to each entity requires evaluation of distinct tariff rules, different factual scenarios, and may require information from different sources. For example, the One Banana case will necessarily involve discovery from motor carriers, while this proceeding may not.

Moreover, given that the parties in each proceeding have not yet initiated much less completed discovery, it cannot yet be known whether there are other significant factual distinctions relating to the parties' respective actions or the circumstances surrounding the alleged inability to return equipment. It very well may be that upon closer analysis, the two matters are quite distinct despite both involving the same general legal question.

C. Intervention Would Not Assist In The Establishment Of A Sound Record

Granting the Motion would not assist in establishing a sound record.

As noted above, One Banana seeks access to the discovery exchanged in this proceeding and to participate in the depositions conducted herein. That may reduce the costs to One Banana of establishing certain facts in its complaint proceeding, but One Banana has not even attempted

to explain how its participation would actually assist in the adjudication of the issues in this proceeding. In particular, there is no logical reason why it would be necessary for One Banana to participate in discovery in order for OAE to obtain any information it needs from Hapag Lloyd to support its claims. In short, allowing One Banana to intervene in this proceeding would contribute absolutely nothing to the establishment of a sound record in this case.

D. Intervention Would Duplicate OAE's Position

The position being taken by One Banana appears to duplicate the position of OAE, making intervention unnecessary and inappropriate.

OAE is alleging that assessment of detention charges on equipment that could not be returned due to a lack of terminal appointments was unreasonable and a violation of the Shipping Act. One Banana's complaint makes the same allegation, although it appears to be focused primarily on demurrage rather than detention. As noted above, there are significant factual and legal distinctions between these allegations. However, to the extent One Banana's position overlaps with that OAE, One Banana's position is duplicative of OAE, which weighs in favor of denying the Motion.

III. Granting The Motion Would Be Contrary To The Purposes Of Intervention

Under Rule 12 of its Rules of Practice and Procedure (46 C.F.R. §502.12), the Commission relies on the Federal Rules of Civil Procedure where its own rules are silent and following the Federal Rules is consistent with sound administrative practice. The federal jurisprudence on permissive intervention under F.R.C.P. 24 is instructive, and requires denial of the Motion.

Federal courts have held that permissive intervention is generally not appropriate when the applicant can protect its interest and/or recover on its claim through some other means. See,

e.g., *Deus v. Allstate Insurance Co.*, 15 F.3d 506, 526 (5th Cir. 1994). Here, One Banana can and is protecting its interests and seeking to recover through other means – it has filed its own complaint against Respondent at the FMC. Further, One Banana has provided no explanation as to why its participation in discovery in this proceeding could be expected to lead to discovery of any information that would not be available to it in the proceeding relating to its own complaint.

IV. Conclusion

One Banana is not seeking the development of a sound record in Docket No. 21-10. It is seeking a de facto consolidation of the complaint in Docket No. 21-10 and its own complaint so that it can ride the coat tails of OAE, reduce its own discovery costs, and get two separate bites at the apple in terms of seeking discovery from Hapag Lloyd . Granting intervention would not benefit OAE, the Commission or the Respondent, but would instead complicate this proceeding by introducing separate issues of law and fact. In short, the only entity that stands to benefit from intervention is One Banana.

For the foregoing reasons, the Motion should be denied.

Respectfully submitted,



By: _____

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 28th day of January, 2022, the foregoing Opposition was served via electronic mail on:

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A handwritten signature in black ink, appearing to read "Wayne R. Rohde", is positioned above a horizontal line.

Wayne R. Rohde